



Another indicator we will use to make this strategy more effective is Bollinger Bands. When we have identified a range, we need to look for the price extremes to benefit from the whole trend. Bollinger Bands is a technical tool that uses 3 bands to mark the price levels. The middle band is the 20-day Simple Moving Average. The upper band of the Bollinger Band acts as a resistance and the lower band acts as a support.

